

# RENTAL TERMINATION & RECOVERY PROCEDURE

## What to do when a rental has to be cancelled

For Edward · Rental Division · K&K Enterprises Ltd.

### NOTE: APPLIES TO

This procedure works with BOTH the old rental agreement (signed before 2026) and the new rental agreement.

Old agreement — the cancellation right is Clause 6 (“Rentee reserves the right to nullify this agreement at any time for any reason”).

New agreement — the same right is Section 8 (Termination by the Owner for Cause), with the specific defaults listed in 8.1(a)–(i), including 15 days late on payment.

The three notice documents work with either agreement — you just cite the right clause number in Section 1. The Notice of Termination template already has a note where you make that change.

## The three documents, in order

### DOCUMENT 1 — Notice of Termination

**Sent to the customer.** Cancels the rental and demands the trailer back within 5 days. This is the document that does the actual work — read it before you send it.

### DOCUMENT 2 — Record of Delivery

**Internal only — never sent to the customer.** Your proof that Document 1 was actually delivered. This is what the police will ask to see before they open a file. Fill it in the same day.

### DOCUMENT 3 — Final Notice Before Report to Police

**Sent to the customer.** Only used if the trailer is still not back after Document 1's deadline passes. One last chance before K&K reports it to police.

## The one rule that matters most

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### **WARNING: NEVER MIX MONEY AND POLICE**

**The demand to return the trailer and the demand for unpaid rent are always two separate things.**

You can tell a customer the trailer will be reported to police if it isn't returned.

You can **never** say or imply that paying what they owe will stop that report, or that returning the trailer erases the debt. Tying the two together — “pay up or we call the cops” — can turn K&K's own collection effort into a crime. If you're ever unsure how to phrase something to a customer, stop and call Greg before you send it.

### **WARNING: Recovering the trailer yourself**

Only pick up a trailer from a public road, a public lot, or with the customer's consent. Do not go onto a customer's fenced yard or private property to hook up a unit — that needs either their consent or a court order. If a trailer is on private property and the customer won't let it go, call Greg. Don't send Alvin in without an answer first.

## Step by step

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### **1 Confirm you have grounds**

*Before you send anything*

- Payment more than 15 days late, on either agreement.
- Payment method on file declined and not fixed after you asked.
- Damage noticed, or damage that wasn't reported like it should have been.
- Insurance lapsed, or K&K isn't named on the policy anymore.
- Customer hauling something they're not supposed to, or you can't find the trailer.

**If you're not sure it's enough, call Greg first. It's a five-minute call and it's much cheaper than sending a notice you have to walk back.**

### **2 Send Document 1 — Notice of Termination**

*Same day as Step 1*

- Fill in the unit #, VINs, customer name, agreement date, and check the grounds that apply.
- Set the return deadline — 5 days minimum from when you send it. Don't shorten this.
- Send it every way you can reach the customer at once: email, text, and courier if you have a real address. More channels is better proof later.
- Sign it as Greg, not as yourself — it carries more weight coming from the owner.

### **3 Fill in Document 2 — Record of Delivery**

*Same day, right after Step 2*

- Screenshot the sent email and the sent text message. Attach both to the unit file.
- Write down exactly what the customer says back, word for word, especially if they refuse to return it.
- Note the trailer's last known location and whether it has a GPS unit.

**This page is boring but it's the most important one in the whole file. Don't skip it.**

**4**

## **Set a reminder for the deadline**

*The 5 days (or whatever you set) from Document 1*

- Put the deadline in your calendar the same day you send the notice. Don't rely on remembering.

## 5 When the deadline arrives — two paths

### OK: PATH A — Trailer comes back

Do the return inspection using the Equipment Condition Report. Note any damage or missing items. Close the file. Nothing further needed unless there's a balance owing, which you handle as a normal collections matter.

### NEXT: PATH B — Trailer does not come back

Go to Step 6.

## 6 Send Document 3 — Final Notice Before Report to Police

*Only after Document 1's deadline has actually passed*

- Reference Document 1's date and the deadline that passed.
- Give a new, final deadline — 24 to 48 hours is reasonable at this stage.
- Send it the same way as Document 1: every channel you have.
- Update Document 2 (Record of Delivery) again with proof this one went out too.

**Call Greg before you send this one. By this point he'll likely want to be looped in on next steps regardless.**

## 7 If the final deadline also passes

1. **Call Greg first.** Always, before you contact police.
2. Report the trailer to the RCMP or local police as unlawfully retained. Bring both notices, the Record of Delivery, the rental agreement, and any GPS data.
3. Notify K&K's insurer and, if you have it, the customer's insurer.
4. Greg will decide from there whether to bring in a recovery agent or a lawyer.

## Contacts

Greg — cell: \_\_\_\_\_

RCMP / local police — non-emergency line: \_\_\_\_\_

K&K insurance broker: \_\_\_\_\_

K&K lawyer: \_\_\_\_\_

## One-page checklist

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Print this page and clip it to the unit file when a rental goes into default.

- ☐ Grounds confirmed — 15+ days late, damage, insurance lapse, or other default
- ☐ Called Greg if unsure
- ☐ Document 1 (Notice of Termination) filled in and sent — email, text, courier
- ☐ Document 2 (Record of Delivery) filled in same day, proof attached
- ☐ 5-day deadline set in calendar
- ☐ If returned: Equipment Condition Report done, file closed
- ☐ If not returned: called Greg before sending Document 3
- ☐ Document 3 (Final Notice) sent, Document 2 updated with new proof
- ☐ If still not returned: called Greg, then police, then insurer
- ☐

### **WARNING: REMEMBER**

**Money and the return of the trailer are always two separate conversations. When in doubt, call Greg.**